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G-2, GHQ
INTER-OFFICE MEMORANDUM

(For use within G-2 only)

3 October 1949

File No: **Subject:** Formosa **Date:**

FROM: Colonel Lacey **TO:** Colonel Fortier **PHONE:** **NAME:** **Comment Number**

1. The following information has been secured from a reliable source:

a. Chiang Chieh-shih and Chen Cheng

Chiang Chieh-shih and Chen Cheng come from the same province. Ever since the revolution Chen Cheng has been a faithful follower of Chiang. After Chiang went to Formosa in 1948 Chen Cheng became ambitious to assume the leadership held by Chiang. In 1949 Chiang held a meeting with Tang Wen-po and Wang Wen-cheng in Shanghai and Chiang was advised to go to Formosa as soon as possible. It is alleged that Chen is the custodian of Chiang's wealth. At the present time the relationship existing between the two seems to be peaceful, however, it appears that Chen Cheng will not continue to be a follower of Chiang. He is classified as an extreme rightist in Chiang's organization. He hates foreigners and is very much disliked by the Americans.

Tang Wen-po

Tang Wen-po is considered to be one of the closest men to Chiang. He previously studied in Japan and is presumed to be pro-Japanese. He is known as one of the best strategists in the Chinese army, however, he failed in the defense of Shanghai and is now in Amoi. Chiang still has great confidence in him. He is a professional soldier and does not play politics like Chen Cheng. His future does not seem very bright.

b. Chen Cheng and Sun Li-jen

Sun Li-jen went to Formosa in 1947, a year before Chen Cheng went there. He is one of Chiang's trusted men and heads the training of troops. Chen Cheng dislikes him because of his influence in the army. These two men will not collaborate in an emergency.

Sun Li-jen has a very good war record. He fought against the Japanese army in Burma as the Commander of the Central Indian Army. He studied in the US and has a good knowledge of modern warfare. He is said to be intelligent and fearless. He could be a very useful person to the US in the future.

c. Wang Wen-cheng and Shang Chen

These two men are both on good terms. Politically it is said that Shang is under the influence of Wang. Chu Shih-ming is

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also politically under the influence of Wang. Wang Wen-cheng is a broad minded politician and has an excellent personality. At the present time he is in Japan as Special Assistant to the Chief of the Chinese Mission. He is very anti-Communist and has devoted many years of his life to the collaboration between Japan and China and is friendly to America.

Shang Chen is the former Chief of the Chinese Mission. He is still in Japan.

Chu Shih-ming is in Japan at the present time as Chief of the Chinese Mission.

d. Condition of the Chinese Army in Formosa

The Chinese allege that they have 400,000 fully equipped soldiers on the island, however, other sources indicate that they only have about 150,000 soldiers and that these soldiers are without fighting spirit.

After the war over 2,000,000 Chinese moved to Formosa. Because of the political and economic situation the inhabitants were thrown into confusion and much uneasiness was in existence. These newcomers are very dissatisfied with the present situation in Formosa. Informant states that, roughly classified, 50% of the inhabitants of Formosa desire Japanese rule; 20% desire international rule; 20% desire neutrality and 10%, most of them communists, desire independence.

Informant reports that sooner or later Formosa will be taken over by the communists. It is just a question of time. This does not necessarily mean that there will be an amphibious landing by the communist armed forces but that the 5th column in Formosa will cause the downfall of the island. The situation there is considered very dangerous for the nationalists. Informant fears that if Formosa falls to the communists it will mean a break through the center of the American defense line in the West Pacific and that Formosa should be controlled by a neutral force as if it fell into the hands of Russia it would be a dangerous situation for the Americans.

W. L.

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